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Officials from the People's Bank of China and the China Securities Regulatory Commission answered reporters' questions regarding the "Notice on Further Preventing and Handling Risks Related to Virtual Currencies."

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Recently, eight departments, including the People's Bank of China, the National Development and Reform Commission, the Ministry of Industry and Information Technology, the Ministry of Public Security, the State Administration for Market Regulation, the State Financial Regulatory Commission, the China Securities Regulatory Commission, and the State Administration of Foreign Exchange, jointly issued the "Notice on Further Preventing and Handling Risks Related to Virtual Currencies" (hereinafter referred to as the "Notice"). Recently, relevant officials from the People's Bank of China and the China Securities Regulatory Commission answered reporters' questions regarding the Notice.

I. What is the background to the issuance of the "Notice"?

In 2021, cryptocurrency trading and speculation were rampant, disrupting economic and financial order and endangering the property safety of the people. In accordance with the decisions and plans of the CPC Central Committee and the State Council, the People's Bank of China, together with relevant departments, jointly issued the "Notice on Further Preventing and Handling Risks of Cryptocurrency Trading and Speculation," resolutely cracking down on cryptocurrency trading and speculation, and rectifying the chaos in the cryptocurrency market, achieving significant results.

Recently, influenced by various factors, speculative activities related to virtual currencies and the tokenization of real-world assets have occurred frequently, posing new challenges and situations for risk prevention and control. To further improve regulatory policies, prevent and address risks related to virtual currencies and the tokenization of real-world assets, and effectively safeguard national security and social stability, eight departments, including the People's Bank of China, the National Development and Reform Commission, the Ministry of Industry and Information Technology, the Ministry of Public Security, the State Administration for Market Regulation, the State Financial Regulatory Commission, the China Securities Regulatory Commission, and the State Administration of Foreign Exchange, together with the Cyberspace Administration of China, the Supreme People's Court, and the Supreme People's Procuratorate, have revised the original document based on previous experience and in light of the new risk situation, resulting in the "Notice."

2. How does the "Notice" characterize virtual currencies, tokenization of real-world assets, and related business activities?

Regarding virtual currencies, China has long maintained a policy stance of prohibiting virtual currency-related business activities. In 2013, five departments, including the People's Bank of China, jointly issued the "Notice on Preventing Bitcoin Risks," clarifying that Bitcoin is a specific virtual commodity and cannot and should not be used as currency in the market. The "Notice on Further Preventing and Handling Risks of Virtual Currency Trading and Speculation," issued in 2021, further clarified that Bitcoin, Ethereum, and stablecoins such as Tether do not have the same legal status as fiat currency, and conducting virtual currency-related business activities within China constitutes illegal financial activity and is strictly prohibited. This notice continues the policy stance of recent years, reiterating that virtual currencies do not have the same legal status as fiat currency, that conducting virtual currency-related business activities within China constitutes illegal financial activity, and that overseas entities and individuals are prohibited from illegally providing virtual currency-related services to domestic entities in any form.

Regarding the tokenization of real-world assets, its development has been rapid in recent years, prompting relevant countries and regions to strengthen regulation through various means such as enhancing legislation and improving rules. The "Notice" clarifies that real-world asset tokenization mainly refers to activities that use encryption technology and distributed ledger or similar technologies to convert the ownership and income rights of

assets into tokens or other rights and debt certificates with token characteristics, and then issue and trade them. The "Notice" emphasizes that conducting real-world asset tokenization activities within China, as well as providing related intermediary and information technology services, which are suspected of involving illegal token issuance, unauthorized public offerings of securities, illegal operation of securities and futures businesses, illegal fundraising, and other illegal financial activities, should be prohibited; exceptions are made for related business activities conducted based on specific financial infrastructure with the approval of the competent business authorities in accordance with laws and regulations. Foreign entities and individuals are prohibited from illegally providing real-world asset tokenization-related services to domestic entities in any form.

3. What regulatory requirements does the "Notice" impose on virtual currencies?

First, virtual currencies currently cannot effectively meet the requirements for customer identification and anti-money laundering, posing a risk of being used for illegal activities such as money laundering, fundraising fraud, and illegal cross-border fund transfers. The "Notice" clearly states that China maintains a prohibitive policy on virtual currencies, and related business activities are illegal financial activities, strictly prohibited, and resolutely banned in accordance with the law.

Second, virtual currencies rely on blockchain technology and support peer-to-peer transactions, breaking through the physical concept of "national borders." This makes related risks highly susceptible to cross-border transmission, leading international financial organizations and central banks to generally adopt a cautious approach. To effectively prevent these risks, the "Notice" explicitly states that without the consent of relevant departments in accordance with laws and regulations, domestic entities and their controlled overseas entities are prohibited from issuing virtual currencies overseas.

Third, stablecoins pegged to fiat currencies effectively perform some of the functions of fiat currencies in circulation, which is a matter of monetary sovereignty. The notice emphasizes that without the consent of relevant departments in accordance with laws and regulations, no entity or individual, whether domestic or foreign, may issue stablecoins pegged to the Renminbi overseas.

IV. What requirements does the "Notice" put forward for domestic entities to conduct real-world asset tokenization-related business overseas?

First, strict supervision will be implemented for related business activities conducted overseas. Following the regulatory principle of "same business, same risk, same rules," domestic entities directly or indirectly engaging in real-world asset tokenization in the form of foreign debt, or conducting asset securitization or equity-based real-world asset tokenization overseas based on domestic asset ownership, beneficial rights, etc. (hereinafter collectively referred to as domestic equity), will be strictly supervised by the National Development and Reform Commission, the China Securities Regulatory Commission, the State Administration of Foreign Exchange, and other relevant departments according to their respective responsibilities. For other forms of real-world asset tokenization conducted overseas by domestic entities based on domestic equity, the China Securities Regulatory Commission, in conjunction with relevant departments, will supervise them according to their respective responsibilities. No entity or individual may conduct the aforementioned businesses without the consent or filing of the relevant departments.

Second, strengthen the management of financial, intermediary, and information technology service institutions. Overseas subsidiaries and branches of domestic financial institutions providing services related to the tokenization of real-world assets overseas should be included in the compliance and risk control management system of the domestic financial institutions, and requirements regarding customer access, suitability management, and anti-money laundering should be strictly implemented. Furthermore, intermediary institutions and information technology service institutions that provide services to domestic entities directly or indirectly engaging in real-world asset tokenization business in the form of foreign debt overseas, or providing services based on domestic equity to engage in real-world asset tokenization business overseas, should establish and improve relevant compliance and internal control systems, strengthen business and risk management, and report or file their business operations in accordance with relevant requirements.

V. What specific work measures are proposed in the "Notice"?

First, a collaborative working framework integrating central and local government efforts, as well as departmental and regional coordination, will be established. At the central government level, the People's Bank of China and the China Securities Regulatory Commission, together with relevant departments, will improve working mechanisms for preventing and handling risks related to virtual currencies and the tokenization of real-world assets. At the local level, provincial governments will be responsible for the overall prevention and handling of risks related to virtual currencies and the tokenization of real-world assets within their respective administrative regions. Local financial management departments will take the lead in establishing regular working mechanisms, effectively coordinating with relevant central government mechanisms, and strengthening local implementation.

Second, we will strengthen risk prevention and control. We will pool our efforts across departments to implement comprehensive measures,

including risk monitoring, governance of capital and information flows, market entity registration and advertising management, cracking down on virtual currency mining, combating illegal and criminal activities, and strictly regulating domestic entities' overseas business operations. Relevant industry associations will strengthen industry self-regulation to build a multi-dimensional and comprehensive risk defense line.

Third, strengthen organizational implementation. Enhance organizational leadership and overall coordination, clarify the responsibilities of each department and region, and establish a long-term working mechanism of central coordination, local implementation, and joint responsibility to effectively and efficiently prevent and handle risks related to virtual currencies and the tokenization of real-world assets. Simultaneously, conduct extensive publicity and education, with various departments, regions, and industry associations using methods such as legal and policy interpretation, analysis of typical cases, and investment risk education to fully highlight the potential risks and hidden dangers of virtual currencies and the tokenization of real-world assets, thereby improving public awareness and ability to identify risks.

Attachment: Notice on Further Preventing and Handling Risks Related to Virtual Currencies (Yinfa [2026] No. 42) issued by the People's Bank of China, the National Development and Reform Commission, the Ministry of Industry and Information Technology, the Ministry of Public Security, the State Administration for Market Regulation, the State Financial Regulatory Commission, the China Securities Regulatory Commission, and the State Administration of Foreign Exchange.

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